Price Action Playbook for Nifty & Stocks

Structure, Auctions and Failed Breakouts — for the Indian Session

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A practical reference for reading the NSE tape without indicators.

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Glossary

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1. What Price Action Actually Is

Price action is the practice of reading a market directly from its **price, time and volume**, with the chart stripped of lagging indicators. The premise is simple and powerful: every piece of information that matters — news, earnings, flows, sentiment — is already reflected in the price. The price is not a *result* to be explained; it is the *record* of what participants actually did, in real time, with real money.

Three ideas sit at the centre of all price action:

1. **Price moves in auctions.** Every market is an ongoing negotiation between buyers and sellers. When buyers are more aggressive, price rises; when sellers are, price falls. Price stops where the two sides reach temporary agreement — and that is where the interesting levels form.
2. **Structure tells you who is in control.** The sequence of higher highs and higher lows (or lower highs and lower lows) is the market's own confession of which side is winning. You do not need an indicator to see a trend; you need to read the structure.
3. **Levels are memories.** Prices that were rejected once tend to be remembered. A level that produced a sharp reversal is a place where participants have a stake — and where they will defend or attack again.

This book is organised as a playbook: first the foundations (structure, the Indian session, auctions), then the setups (levels, failed breakouts, break-and-retest), then a working process you can run every day.

Why price action suits the Indian market

The NSE is unusually well-suited to this approach for three reasons. First, the session is a **single block** (09:15–15:30 IST) with no lunch break, so the auction develops uninterrupted. Second, the market is **open-heavy** — a large share of the day's range and volume tends to come in the first hour, which makes the opening auction decisive. Third, Nifty and BankNifty are deep, liquid instruments whose levels are respected by institutional participants the world over.

2. Market Structure

Market structure is the skeleton of price action. Every chart, at every timeframe, is made of the same basic material: **swing highs**, **swing lows**, and the sequence they form.

The building blocks

- **Swing high** — a price bar whose high is higher than the bars on both sides.
- **Swing low** — a price bar whose low is lower than the bars on both sides.
- **Higher High (HH) / Higher Low (HL)** — rising tops and rising bottoms.
- **Lower High (LH) / Lower Low (LL)** — falling tops and falling bottoms.

How to read: An **uptrend** is a sequence of HH and HL — each pullback finds support *above* the previous low. A **downtrend** is LH and LL — each rally stalls *below* the previous high. A **range** is neither — price oscillates between two boundaries without making progress. Most of the work in price action is simply naming which of the three the market is in, and on which timeframe.

Structure breaks and "market shifts"

The single most important event in price action is a **structure break** — the first lower low in an uptrend, or the first higher high in a downtrend. It is the earliest objective evidence that the balance of power is changing.

How to read a structure break:

- A break of the **most recent swing low** in an uptrend is the first warning. It does not mean the trend is over; it means the trend is now in question.
- A **change of character** (often abbreviated CHoCH) is when price not only breaks a swing but then *fails to make a new extreme* and instead starts carving the opposite structure — LH/LL after an uptrend, or HH/HL after a downtrend. That is the higher-confidence signal.
- The opposite — and the most dangerous event for a trader — is the **breakout failure** — see Chapter 7.

The trend is a hierarchy, not a fact. Price can be in an uptrend on the daily, a range on the hourly, and a downtrend on the 5-minute — all at once. Before you act, decide which timeframe is your *decision* timeframe and which are your *context* timeframes. A classic mistake is to trade a 5-minute pullback against the daily trend and wonder why the move failed.

Structure checklist

- Identify the last **two** swing highs and **two** swing lows on your decision timeframe.

- Name the structure: uptrend (HH/HL), downtrend (LH/LL), or range.
- Mark the most recent swing low (in an uptrend) or swing high (in a downtrend) — that is the level whose break changes the story.

3. The Indian Session

Price action is not the same at every hour. The Indian market has a distinct daily rhythm, and a level that means one thing at 09:20 means another at 14:30.

The session clock (IST)

Time	Phase	What happens
09:00–09:15	Pre-open	Orders are collected and matched at a single opening price; no continuous trading
09:15–09:30	Opening range	The first 15 minutes of continuous trading set the opening range; highest volatility
09:30–11:00	Morning session	The initial balance (first hour, 09:15–10:15) completes; the opening range is accepted or rejected
11:00–13:30	Midday	Typically lower volume; often a period of balance/compression
13:30–15:15	Afternoon session	Volume and directional energy often return
15:15–15:35	Closing auction (F&O stocks)	End-of-day positioning; the auction price sets the official close

Since 3 August 2026, stocks with F&O contracts stop continuous trading at 15:15 and move to NSE's Closing Auction Session, whose equilibrium price becomes the closing price. Other stocks trade continuously until 15:30 and keep the VWAP-based close. Index and stock F&O trade until 15:40, and the post-close session runs 15:50–16:00.

The opening range

The **opening range** (commonly the first 15 minutes, 09:15–09:30, though some traders use 09:15–10:00) is the single most important reference of the day. It is the market's first statement of value for the session.

How to read the opening range:

- **Opening-range breakout.** A clean break above the opening-range high with *follow-through* (not a one-bar poke) is a classic intraday continuation signal; a break below the low is its mirror.
- **Opening-range failure.** A break that quickly reverses back *inside* the range is a failed breakout (Chapter 7) and is often the better trade — the market just showed you where the trapped traders are.

- **Initial balance and value.** The initial balance is the first hour's range (09:15–10:15). Across the session, watch whether price spends time *inside* the opening range and the initial balance (acceptance) or *away* from them (rejection). Where price spends time is where value is being established.

Session context matters

The same setup is not worth the same risk at every hour. High-conviction moves tend to set up in the **first hour** and in the **last hour**. The midday lull is where breakouts most often fail — there is simply less participation to sustain them. A simple rule that many traders find useful: *be most aggressive in the auction hours (open and close) and most patient in the middle.*

4. Auctions and the Value Area

Auction Market Theory (AMT) describes price as an auction whose job is to **discover value** and **facilitate trade**. The market's goal is not to "go up" or "go down"; it is to find a price where buyers and sellers can do the most business.

The core concepts

- **Value** — the price area where the most trade occurs; where both sides agree.
- **The Point of Control (POC)** — the single price with the greatest traded volume; the auction's centre of gravity.
- **The Value Area** — the range (usually around 70%) where most of a period's volume occurred.
- **Acceptance** — price spending time inside value; the market is comfortable there.
- **Rejection** — price leaving value quickly; the market is signalling that value has changed.

The market profile / TPO view

In the West, this is visualised with a **market profile** (a horizontal histogram of time-at-price, with lettered time-price-opportunity rows). In India, the concepts are applied with the same tools many brokers and platforms provide, or approximated from volume-at-price and the opening range.

How to read the profile:

- A **single, well-defined value area** = a balanced, rotational market. Expect range behaviour and mean-reversion, not trend.
- A **wide, poorly defined value area** = disagreement and transition.
- A **shift in value** — the POC and value area migrating higher or lower day over day — is the profile's own statement of a trend, and often a more honest one than any indicator.

Why value matters to a price-action trader

Value is where **the other side of your trade lives**. Breakouts work because price leaves value and forces participants to re-evaluate; breakouts fail when price leaves value but no one follows, and it snaps back to value. Understanding where value is tells you, in advance, where the two-sided auction is likely to resolve.

Practical proxies for value on an Indian chart:

- The **opening range** and the **initial balance** (the first 15 minutes and the first hour).
- The **previous day's high, low and close** (prior value references).
- **Volume-at-price** clusters (where the most contracts changed hands).

- The **developing POC** of the current session.

5. Balance and Imbalance

Markets spend far more time in **balance** than in trend. Understanding the cycle between the two is the difference between trading a trend and getting chopped up in a range.

Balance (rotation)

Balance is a market in a range: buyers and sellers are evenly matched, price rotates between two boundaries, and value is well-defined. In balance, **breakouts usually fail** and **mean-reversion works** — price is attracted back to value.

How to read balance:

- Identify the upper and lower boundary (the extremes of rotation).
- Note that in balance, the edges are the trade locations: fading the extremes back toward value, with tight risk.
- Recognise when balance is *too* tight — compression is the precursor to expansion.

Imbalance (trend)

Imbalance is a market moving directionally: one side is clearly in control, value is migrating, and pullbacks are shallow and bought (or sold). In imbalance, **breakouts work** and **pullbacks are the entry**, not the reversal.

How to read imbalance:

- Value is migrating (higher POCs day over day in an uptrend, lower in a downtrend).
- Pullbacks hold the previous swing low (uptrend) or previous swing high (downtrend).
- Breakouts of minor levels get follow-through rather than failure.

The transition

The most valuable skill in price action is catching the **moment balance breaks into imbalance** — and catching the **failed attempt** to break (which keeps you in balance). The sequence to watch:

1. Price compresses (balance tightens).
2. Price probes a boundary and either **accepts** (breaks and holds → imbalance) or **rejects** (fails and snaps back → balance, and a failed breakout).
3. The *follow-through after the probe* is the tell. A one-bar poke means nothing; sustained trade away from the level means everything.

6. Levels: Where the Action Happens

Every setup in this book stands on a level. A level is a price where meaningful two-sided trade has occurred — a place with memory.

The types of levels that matter

- **Swing highs/lows** — the structure points from Chapter 2.
- **Supply and demand zones** — the origin of sharp moves. A demand zone is the base of a rally that left quickly (unfilled buy orders remain); a supply zone is the origin of a drop.
- **Opening range / previous day's high and low** — the session's value references.
- **Round numbers and big-figure levels** (e.g. Nifty 22,000 / 22,500 — illustrative) — psychological magnets where orders cluster.
- **Volume-at-price peaks (POC)** — the auction's centre of gravity.

What makes a level *good*

Not all levels are equal. A high-quality level has several of these traits:

1. **It was tested and held** — the more times a level has been respected, the stronger it is (though each test also *weakens* it slightly; see below).
2. **It produced a sharp, decisive move away** — a strong reaction means strong participation.
3. **It coincides** with another reference — a swing low that is also a round number and the previous day's low is a much stronger level than any one of those alone (**confluence**).
4. **It has room** — a level with clear space to run into the next reference is more tradeable than one sandwiched between others.

Tests and their cost

Every test of a level does two things: it **confirms** the level (more memory) and it **consumes** the level (fewer unfilled orders remain behind it). This is why a level that has been tested five times is both more "known" and more likely to eventually break — the orders that made it hold are being used up.

How to read: Trade the *first* test of a strong level with more conviction than the fifth. By the fifth test, be alert for the break rather than the hold.

7. Failed Breakouts

The failed breakout is often cited as one of the most profitable and reliable price-action patterns — because it reveals exactly where one side is trapped, and trapped traders are the fuel for the next move.

The anatomy of a failed breakout

1. Price approaches a well-defined level (a swing high, a range boundary, an opening-range edge).
2. Price **breaks** the level — it trades beyond it, drawing in breakout buyers (or sellers).
3. Price **fails** to follow through and, within a few bars, reverses back *through* the level into the range.

The traders who entered on the breakout are now wrong and underwater. Their stop-losses sit just beyond the level. When price re-crosses the level, those stops are triggered — and the stop-running becomes the momentum that drives the reversal.

The two classic failed-breakout setups

- **The Spring** (failed breakdown / shakeout). Price breaks *below* a support level, traps sellers, and snaps back above it. The reversal is bullish. This is the classic "stop run" under a support.
- **The Upthrust** (failed breakout / bull trap). Price breaks *above* a resistance level, traps buyers, and snaps back below it. The reversal is bearish.

How to tell a real breakout from a fake (before the fact)

You cannot know for certain in advance, but the odds tilt heavily based on **context**:

- **Where is the breakout?** Breakouts from a *tight balance* at the start of a move tend to have the best odds of following through. Breakouts from a *late, stretched, heavily tested* level (or into the midday lull) tend to fail most often.
- **What is the character of the break?** A clean break with expanding range and volume = genuine. A sloppy, marginal, one-bar poke with no participation = suspect.
- **What does the higher timeframe say?** A breakout *with* the daily trend is more likely to hold than one *against* it. Counter-trend breakouts tend to fail more often.

The failed-breakout checklist

- The level is clear and well-defined.
- Price breaks it, then **fails to hold** and re-enters the range within a handful of bars.

- The reversal is **swift** (a slow drift back is less convincing than a fast snap-back).
- The setup has a defined reference for risk (the extreme of the failed probe) and a target (the opposite side of the range, or the next value area).

8. Trend Continuation and Reversal Setups

Beyond failed breakouts, the workhorse setups of price action are the **continuation** trades in a trend and the **reversal** trades at exhaustion.

Continuation: the pullback and the break-and-retest

In an established trend, the highest-probability trade is usually *with* the trend, entered on a pullback.

- **The pullback (flag).** Price trends, then pulls back on declining momentum, often to a prior swing level or the value area, and resumes. The entry is the *resumption*, not the guessing of the bottom.
- **The break-and-retest.** Price breaks a level and continues, then returns to *retest* the broken level from the other side (former resistance becoming support, or vice versa). A clean retest that holds is a high-quality continuation entry.

How to read a pullback: a *healthy* pullback is shallow (holding the prior swing low in an uptrend), on lighter momentum, and time-wise shorter than the impulse that preceded it. A deep, sharp pullback that breaks structure is no longer a pullback — it is a possible reversal.

Reversal: exhaustion and the two-bar reversal

Reversals are harder and should be taken with tighter criteria. The best reversal setups occur at **extremes with context**:

- **Exhaustion.** A trend that has become vertical, with widening ranges and a final "blow-off" bar, often climaxes. The tell is a sharp rejection bar (a long wick) at a level.
- **The two-bar reversal / engulfing context.** A strong opposite bar that erases the prior bar's range, *at a level*, signals a shift. On its own in the middle of nowhere, an engulfing bar means little; at a confluence of levels, it means a lot.

The rule that saves traders from bad reversals: do not short strength or buy weakness *into a trend* — wait for the market to first show you a structure break or a failed breakout (Chapter 7). Reversal trading without that evidence is just fighting the tape.

9. Candlesticks as Context, Not Signals

Candlesticks are the most over-used and mis-used part of price action. A hammer is not a signal; it is a *description of a single bar*. It becomes meaningful only in context.

The right way to use candles

1. **A candle confirms a level's reaction.** A long-wick rejection bar *at a major support* means sellers tried and were absorbed. The *same* bar in the middle of a range means almost nothing.
2. **A candle describes the fight, not the winner.** The body shows who controlled the period; the wicks show where the extremes were rejected. Read both.
3. **Context is everything.** The most reliable candle patterns — pin bars, engulfing bars, inside bars — are reliable only at the *right location* (a tested level, an opening-range edge, a value-area extreme).

The candle you should watch most in the Indian session

The **inside bar** (a bar whose range is entirely inside the previous bar's range) deserves special note: it is the fingerprint of **compression**, and compression precedes expansion. A cluster of inside bars at a level is a coiled spring — the breakout from an inside-bar cluster (especially after the midday lull) is often one of the cleanest continuation setups on the NSE.

10. A Working Daily Process

Price action is a skill, and skills are built with a repeatable process. Here is a complete loop for the Indian session.

Before the open (08:45–09:10)

1. **Mark the context.** On the daily and hourly, name the structure: trend or range. Note the daily trend's direction and its most recent swing level.
2. **Mark the levels.** Plot: previous day high/low/close, the prior swing highs/lows, round numbers, and any obvious volume-at-price POC.
3. **Plan, don't predict.** Write down the two or three scenarios and the level that *invalidates* each. Decide in advance where the market would have to go for your read to be wrong.

During the session

1. **Read the opening range** (09:15–09:30). Note whether price accepts or rejects it.
2. **Trade only the setups in this playbook** — failed breakouts at levels, break-and-retests in a trend, inside-bar compressions at value — and only in the auction hours.
3. **Let the higher timeframe lead.** If the daily is an uptrend, lean long; short setups (failed rallies) are lower conviction.

After the close (15:35)

1. **Journal every decision**, not just every trade. Record what you saw, what you did, and what actually happened.
2. **Review the failed setups too** — the trades you *didn't* take teach as much as the ones you did.
3. **Update tomorrow's levels** from today's session (today's high/low/close and POC become tomorrow's references).

11. Risk and Trade Management

No setup in this book matters more than how you manage the risk around it. Price action gives you an edge at the *margins*; risk management is what lets that edge compound instead of being blown up by one bad session.

The fundamentals

- **Risk a defined amount per trade.** Decide your risk (commonly a small fixed percentage of capital) *before* entry, and size the position so that the stop distance translates to that risk.
- **Place stops where the idea is wrong, not where it is comfortable.** For a failed breakout, the stop belongs beyond the extreme of the failed probe. For a break-and-retest, it belongs beyond the retested level. If the stop is too far, the setup is not tradeable at your size — pass.
- **Think in R-multiples.** Measure every outcome as a multiple of your initial risk (R). A trader's edge is expressed as the average R per trade across many trades. Tracking R removes the emotion from any single win or loss.

The R-multiple mindset

Outcome	Meaning
+1R	You made your risk once over
−1R	You lost your risk
+2R / +3R	A solid win
−2R	A stop that gapped or slipped past your level

How to read your own performance: a trader can be profitable with a win rate under 50% if the average win is larger than the average loss. The R-multiple is the honest accounting that reveals whether your edge is real. It is the single most important habit in this book.

When to stand down

- When the market is in a **tight, low-volume midday balance** with no clear level nearby.
- When you have taken **two consecutive losses** — the market is telling you your read is off; stop and reassess rather than revenge-trade.
- On **event days** (see Book 4, *Event & Earnings Trading on the NSE*) where the gap and volatility make levels unreliable.
- When you cannot articulate, in one sentence, *why* the trade is valid and *where* it is wrong. If you cannot, there is no trade.

12. The One-Page Playbook

The entire book, compressed to a single page you can keep in front of you.

Read the market (before anything):

- Name the structure on the daily and hourly: uptrend, downtrend, or range.
- Locate value: opening range, previous day high/low, volume POC.

Trade these setups, in this order of preference:

1. **Failed breakout** at a clear level (spring or upthrust).
2. **Break-and-retest** of a broken level, with the higher-timeframe trend.
3. **Inside-bar compression** breakout at a level or value.
4. **Pullback** to value in an established trend.
5. **Reversal** only with structure-break evidence at a confluence of levels.

Every trade needs:

- A level that defines the idea.
- A stop beyond the level (where the idea is wrong).
- An R-multiple target that justifies the risk.
- A one-sentence reason and a one-sentence invalidation.

Context rules that override everything:

- Trade with the daily trend when you can; counter-trend only on failed breakouts.
- Be aggressive in the open and close auctions; patient in the midday lull.
- Two losses in a row → stop and reassess.
- No level, no trade. No invalidation, no trade.

Glossary

Acceptance — price spending time in an area; the market is comfortable with value there.

Balance — a rotational, two-sided market (a range).

Break-and-retest — a level breaks, price continues, then returns to retest it from the other side.

Change of character (CHoCH) — the first opposite swing that suggests a trend is turning.

Confluence — multiple levels/references coinciding at one price, strengthening it.

Failed breakout — a break of a level that fails to hold and reverses back through it.

HH / HL / LH / LL — higher high / higher low / lower high / lower low (structure points).

Imbalance — a directional, one-sided market (a trend).

Inside bar — a bar whose range is wholly contained within the previous bar.

Initial balance — the range of the first hour of the session (09:15–10:15 IST).

Opening range — the first 15 minutes of the session (09:15–09:30 IST); the day's first statement of value.

POC (Point of Control) — the price with the greatest traded volume.

Rejection — price leaving an area quickly, signalling that value has changed.

Spring — a failed breakdown below support that reverses back above it.

Upthrust — a failed breakout above resistance that reverses back below it.

Value area — the price range (≈70%) where most of a period's volume occurred.